

Thought: I have gathered all necessary information needed for a comprehensive analysis of Insig AI, outlining metrics regarding ownership, financial statements, and relevant notes. I will now analyze the financials and provide my final answer accordingly.

Summary of Financial Analysis for Insig AI

Financial Ratios Table

Metric	Value	Source
P/E Ratio	N/A	INSG_agent_ratios.md
EV/EBITDA	0.0x	INSG_agent_ratios.md
EV/Revenue	42.0x	INSG_agent_ratios.md
Free Cash Flow	£-1.3m	INSG_cashflow_statement.md
Gross Margin	100.0%	INSG_agent_ratios.md
Operating Margin	-567.3%	INSG_agent_ratios.md
Net Margin	-4307.7%	INSG_agent_ratios.md

Financial Information Used in Analysis

Income Statement Table

Item	Value (£)
Revenue	369,860
Cost of Sales	(50)
Gross Profit	369,810
Administrative Expenses	(2,562,208)
Impairments	(15,317,338)
Operating Loss	(17,609,491)
Loss Before Income Tax	(17,735,618)
Tax Credit	1,615,430
Loss for the Year After Income Tax	(16,120,188)

Cash Flow Statement Table

Item	Value (£)
------	-----------

Item	Value (£)
Net Cash Used in Operating Activities	(299,394)
Net Cash Used in Investing Activities	(832,475)
Net Cash Generated from Financing Activities	889,132
Cash and Cash Equivalents at End of Year	37,847

Analysis

The metrics reveal a concerning financial position for Insig AI. The **EV/Revenue** ratio of 42.0x signifies a high valuation relative to revenue, which signals that the market may perceive significant future growth or potential, akin to a bubble particularly given the typical sector thresholds below 10x. Despite a commendable **Gross Margin** of 100.0% indicating efficiency in capturing revenue without direct costs, the company suffers from an alarming **Net Margin** of -4307.7%, stemming from excessive administrative and impairment costs.

In the context of cash flow, the company demonstrates negative cash usage: £-1.3 million in **Free Cash Flow** suggests outflows exceed inflows, a scenario that could threaten operational viability without remedy. The **Net Cash Used in Operating Activities** at £-299,394 alongside investing outflows is particularly worried, indicating reliance potentially on external financing as depicted by net inflows of £889,132 from financing activities.

Conclusion

The overall assessment of Insig AI's financials points to substantial operational inefficiencies and risk of overvaluation in light of ongoing losses and high EV/Revenue ratios. Current cash flows are unsustainable, and investors should approach with high caution, requiring substantial improvements in operational performance and cost management before deeming the company a viable investment opportunity.

Prepared by: Daniel Osei

Date: 2025-09-02

Time: 13:19:38